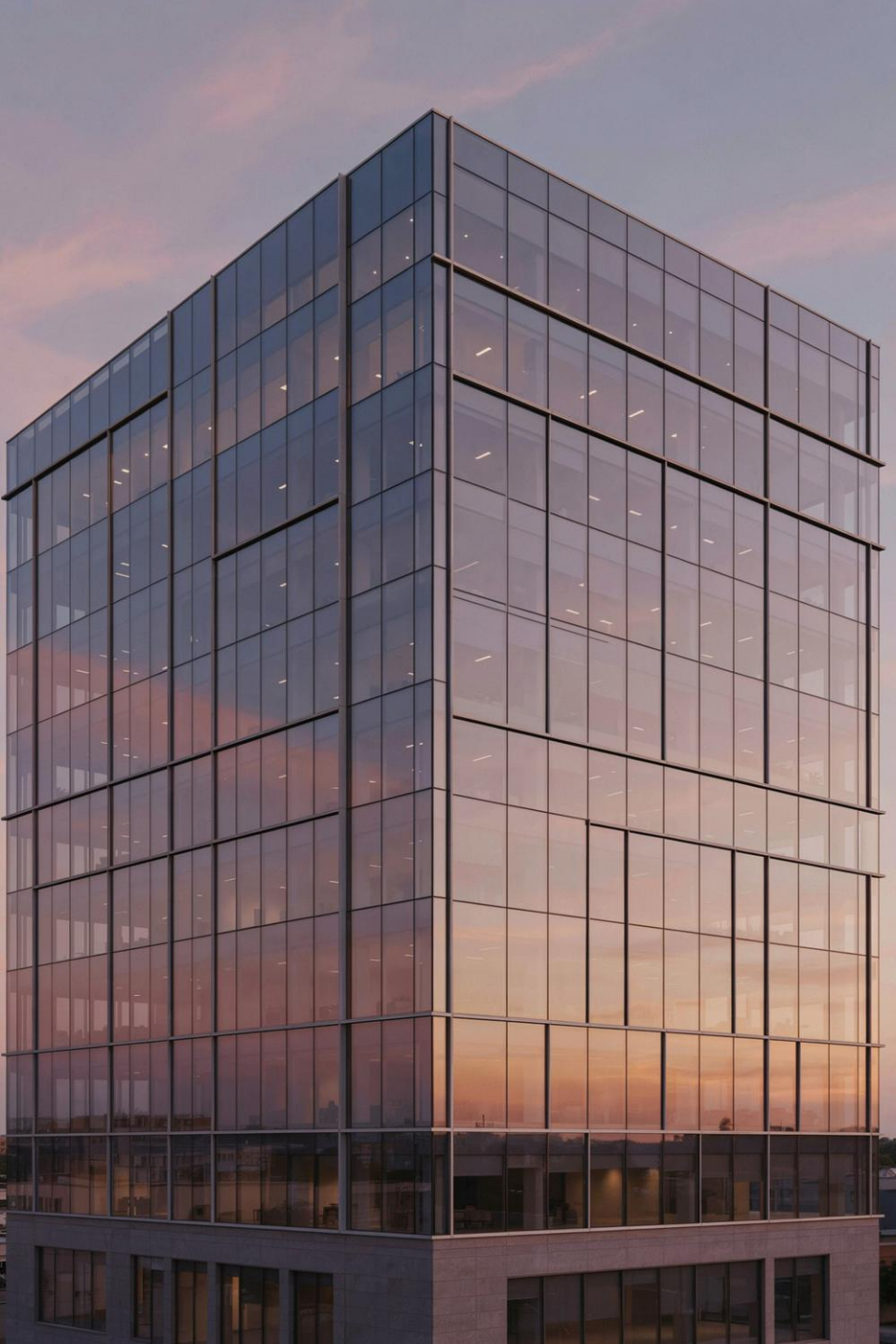




Performance Management

MBA Financial Management Accounting — Topic 10

10.1 Introduction to Performance Management.

10.2 Performance Measures (KPIs)

10.3 Performance Evaluation (Using the extended balanced Scorecard)

10.4 Other Issues in performance Management (Subsidiaries and Transfer Pricing)

What Is Performance Management?

Core Definition

Performance management in management accounting is the process of **measuring, analysing and evaluating** an organisation's performance against predetermined objectives, budgets and targets to support corrective action and continuous improvement.

Two Key Dimensions

1

Defining KPIs

Identifying and establishing Key Performance Measures/Indicators that reflect strategic and operational goals.

2

Evaluating Performance

Comparing actual performance metrics against the defined KPIs to identify gaps and drive corrective action.

Role of Performance Management



Track Organisational Goals

Identifies and monitors progress against strategic and operational objectives, keeping the organisation on course.



Identify Improvement Opportunities

Highlights areas where processes, products or people can be enhanced for greater efficiency and effectiveness.



Benchmark Performance

Compares performance against both internal standards and external industry benchmarks to gauge competitiveness.



Inform Strategic Direction

Reviewing performance is a critical input when formulating and adjusting the direction of strategic activities.



Meet Customer Expectations

Ensures that products and services consistently meet or exceed what customers expect from the organisation.



Drive Continuous Improvement

Embeds a culture of ongoing quality improvement across goods and services delivered by the organisation.

Defining Key Performance Indicators (KPIs)

In management accounting, a **performance measure** is a quantitative or qualitative indicator used to assess how effectively and efficiently an organisation, department, product, process or employee is achieving its predetermined objectives. **Key Performance Indicators (KPIs)** are the most critical performance measures selected to monitor progress against strategic and operational goals.

Financial KPIs

- Profit margin
- Revenue growth
- Cost variance
- Return on investment

Non-Financial KPIs

- Customer satisfaction
- Product quality
- Delivery time
- Employee productivity
- Innovation

Key Principles in Selecting KPIs

Quality & Availability

Place significant emphasis on quality strategies. Performance measurement information must be freely available, relevant, user-friendly, reliable and frequent.

Customer Focus

The performance measurement system must place a strong focus on customer satisfaction and enable employees to control and improve processes.

Financial & Non-Financial Balance

The system must understand financial indicators and actively promote non-financial indicators. More extensive use must be made of qualitative data.

Commitment & Benchmarking

Departments responsible for producing performance information must be totally committed to their service responsibility. Benchmarking must be used consistently to improve internal measures.

Constructive Use

Performance measures should not be used to punish or blame. They exist to drive improvement, not to create fear or defensiveness within the organisation.

Characteristics of Good KPIs: The SMART Framework

S — Specific

Clearly defines what is being measured, for whom and in which area. Avoid vague measures such as "improve performance." *Example: Reduce customer complaints rather than "improve customer service."*

M — Measurable

Can be quantified or objectively assessed using reliable data with a clear unit, scale or basis for measurement. *Example: Reduce customer complaints from 50 to 30 per month.*

A — Achievable

The target is realistic and attainable given available resources and capabilities challenging but not impossible. *Example: Increase monthly sales by 10% given available sales capacity.*

R — Relevant

Directly supports the organisation's strategic or operational objectives measures something that matters to success. *Example: If profitability is a priority, reduce production cost per unit by 5%.*

T — Time-bound

Specifies when the target should be achieved or the period over which it will be measured. *Example: Reduce production cost per unit by 5% by 31 December.*

❏ **SMART KPI Example:** "Increase customer satisfaction from 80% to 90% by the end of December." Specific (customer satisfaction), Measurable (80%→90%), Achievable, Relevant (supports retention), Time-bound (December).

Financial Performance Measures

Financial KPIs are mostly derived from financial statement items, financial metrics and variance analysis from budgeting. The table below summarises the key financial performance measures.

KPI	Source	Formula	What It Indicates
Revenue Growth	P&L	$(\text{Current} - \text{Previous Revenue}) \div \text{Previous} \times 100$	Ability to grow sales over time
Gross Profit Margin	P&L	$\text{Gross Profit} \div \text{Revenue} \times 100$	Profitability of core trading after direct costs
Operating Profit Margin	P&L	$\text{Operating Profit} \div \text{Revenue} \times 100$	Efficiency in generating operating profit from sales
Net Profit Margin	P&L	$\text{Profit After Tax} \div \text{Revenue} \times 100$	Overall profitability after all expenses and taxes
Current Ratio	SFP	$\text{Current Assets} \div \text{Current Liabilities}$	Ability to meet short-term obligations
Debt-to-Equity Ratio	SFP	$\text{Total Liabilities} \div \text{Equity}$	Level of financial leverage and debt dependence
Inventory Turnover	P&L + SFP	$\text{Cost of Sales} \div \text{Average Inventory}$	Efficiency in converting inventory into sales
Receivables Collection Period	P&L + SFP	$\text{Avg Receivables} \div \text{Credit Sales} \times 365$	Effectiveness of credit control
Revenue Budget Variance	Budget vs Actual	$\text{Actual Revenue} - \text{Budgeted Revenue}$	Revenue performance vs target
Material Cost Variance	Standard Costing	$\text{Actual} - \text{Budgeted Material Cost}$	Efficiency in controlling material expenditure
Operating Expense Variance	Budget vs Actual	$\text{Actual} - \text{Budgeted Operating Expenses}$	Effectiveness of controlling operating costs



Non-Financial KPIs: Why They Matter

Non-financial KPIs complement financial measures by showing the **operational and behavioural drivers of future financial performance**. Customer satisfaction, employee engagement, product quality, delivery time and innovation may not immediately appear in the financial statements, but changes in these measures can significantly affect future revenue, costs, profitability and organisational sustainability.

Leading Indicators

Non-financial KPIs often predict future financial outcomes a drop in customer satisfaction today signals revenue risk tomorrow.

Operational Drivers

They reveal the root causes of financial performance, enabling managers to intervene before problems appear in the accounts.

Holistic View

Combining financial and non-financial measures gives a more complete picture of organisational health and long-term sustainability.

Non-Financial KPIs: Marketing & Sales

Marketing KPIs

Creates awareness, understands customer needs, builds the brand and generates market demand.

- Brand awareness rate
- Customer satisfaction score
- Website traffic
- Social media engagement rate
- Marketing campaign response rate
- Market share
- Customer retention rate
- Number of qualified leads generated
- Customer complaints
- Net Promoter Score (NPS)

Sales KPIs

Converts market demand into customer orders and builds and maintains customer relationships.

- Number of new customers acquired
- Sales conversion rate
- Number of sales calls/visits
- Sales pipeline conversion rate
- Customer retention rate
- Average order fulfilment time
- Customer satisfaction
- Number of repeat purchases
- Salesperson productivity
- Quote-to-order conversion rate

Non-Financial KPIs: HR & Manufacturing

Human Resources KPIs

Recruits, develops, motivates, retains and supports employees while ensuring effective workforce management.

- Employee turnover rate
- Employee absenteeism rate
- Employee engagement score
- Training hours per employee
- Employee satisfaction score
- Staff retention rate
- Time taken to fill vacancies
- Internal promotion rate
- Employee productivity
- Workplace accident frequency

Manufacturing / Production KPIs

Converts raw materials into finished products efficiently, consistently and to required quality standards.

- Production output
- Defect/rejection rate
- Production cycle time
- Machine downtime
- Capacity utilisation rate
- Production yield
- First-pass quality rate
- Material wastage rate
- On-time production rate
- Workplace safety incidents

Non-Financial KPIs: Operations, ICT & R&D

Operations

Coordinates day-to-day processes for efficient, reliable and timely delivery of products or services.

- Order processing time
- On-time delivery rate
- Service response time
- Error/rework rate
- Process compliance rate

ICT

Provides technology infrastructure, systems, data and digital services supporting operations and decision-making.

- System uptime
- Average IT response time
- Number of cybersecurity incidents
- User satisfaction score
- Cybersecurity training completion rate

Research & Development

Develops new products, services and processes to support innovation and competitiveness.

- Number of new products developed
- Product development cycle time
- Number of patents/innovations
- Prototype success rate
- Customer acceptance of new products



Key Takeaway: KPI Design

SMART Framework

Every KPI must be Specific, Measurable, Achievable, Relevant and Time-bound. Vague measures drive vague behaviour.

Balance Financial & Non-Financial

Non-financial KPIs are leading indicators of future financial performance. A complete picture requires both dimensions.

Constructive Purpose

KPIs should enable improvement, not punish. Benchmarking and qualitative data must be used consistently alongside quantitative measures.

Performance Evaluation

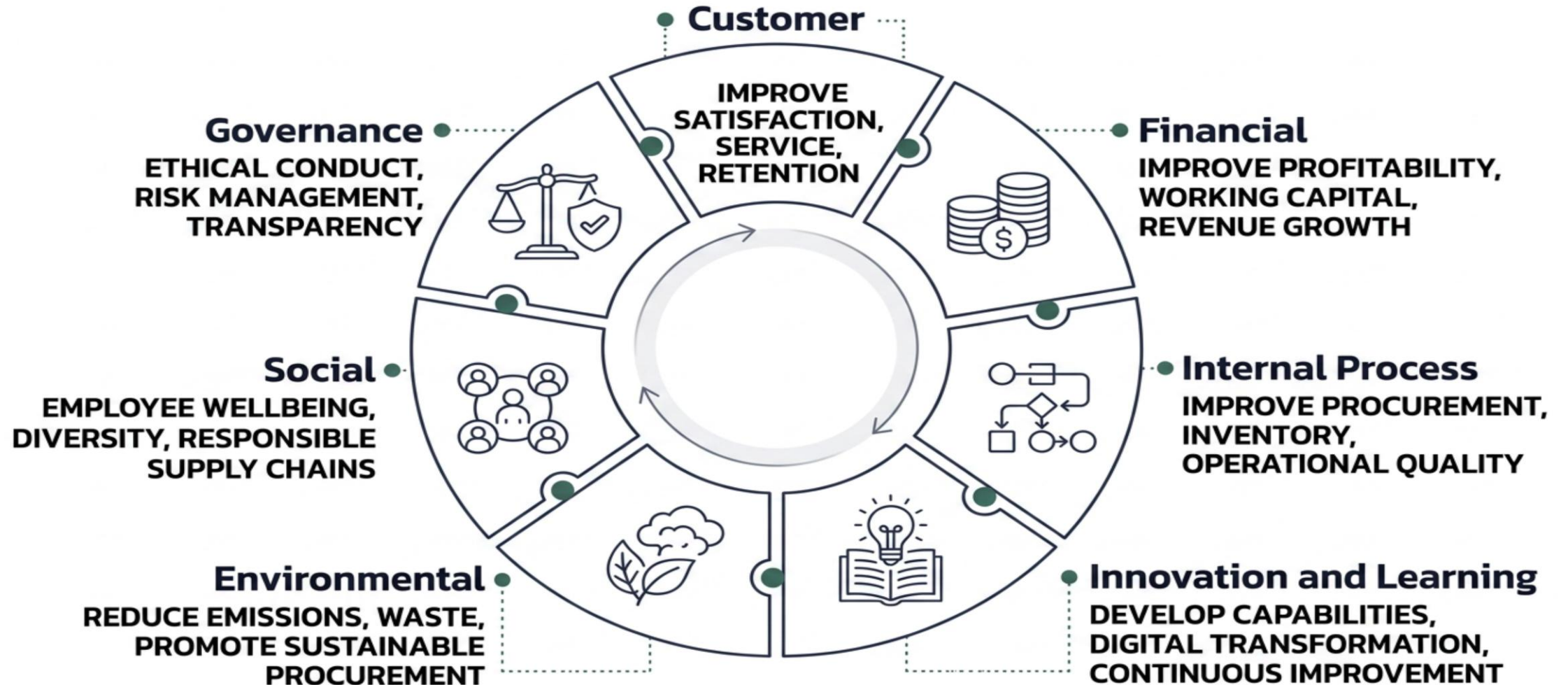
Performance evaluation in management accounting is the systematic process of assessing actual organisational, departmental or individual performance against predetermined objectives, budgets, standards and KPIs to identify achievements, variations and areas requiring corrective action.

Initially, the focus was on financial measures alone. Since the 1990s, the emphasis has shifted to combining both financial and non-financial measures. The most popular tool is the **Balanced Scorecard (Kaplan and Norton, 1992)**, which requires evaluation from four perspectives: Customer, Financial, Internal Business Process, and Innovation & Learning. Due to its limited scope, stakeholders now look towards more comprehensive frameworks that include governance and sustainability issues Environmental, Social and Governance (ESG).



The Extended Balanced Scorecard: Seven Perspectives

It is recommended that KPIs are set at the beginning of the financial period, with the perspective, goals and SMART KPIs defined in advance. The extended Balanced Scorecard below applies to a trading business that purchases finished products from suppliers and resells them to customers. The seven perspectives combine the traditional Balanced Scorecard with ESG performance dimensions.



BSC: Customer Perspective

1

Improve Customer Satisfaction

- Increase customer satisfaction score from 82% to 90% by December 2027.
- Reduce customer complaints by 20% by Q4 2027.
- Achieve an average Net Promoter Score of 60 by December 2027.

2

Improve Customer Service & Delivery

- Achieve 95% on-time delivery by December 2027.
- Reduce average customer response time to less than 2 hours by June 2027.
- Resolve 90% of customer complaints within 48 hours by December 2027.

3

Increase Customer Retention

- Increase customer retention from 75% to 85% by December 2027.
- Increase repeat purchases by 15% by December 2027.
- Acquire 500 new active customers by December 2027.

BSC: Financial Perspective

1

Improve Profitability

- Increase gross profit margin from 25% to 28% by December 2027.
- Increase operating profit margin to 12% by December 2027.
- Reduce operating costs as a percentage of sales by 5% by December 2027.

2

Improve Working Capital Management

- Reduce inventory holding period from 60 to 45 days by December 2027.
- Reduce receivables collection period to 35 days by December 2027.
- Improve inventory turnover from 6 to 8 times per year by December 2027.

3

Increase Sustainable Revenue Growth

- Increase annual sales revenue by 10% by December 2027.
- Generate 15% of annual sales from new products by December 2027.
- Increase sales per customer by 8% by December 2027.

BSC: Internal Process Perspective

1

Improve Procurement Efficiency

- Reduce average procurement cycle time by 20% by September 2027.
- Ensure 95% of purchases are supported by approved purchase orders by December 2027.
- Conduct supplier performance reviews for 100% of key suppliers annually.

2

Improve Inventory Management

- Reduce inventory stock-outs to less than 2% of product lines by December 2027.
- Reduce obsolete/slow-moving inventory by 25% by December 2027.
- Achieve 98% inventory record accuracy by December 2027.

3

Improve Operational Quality

- Reduce order-processing errors by 30% by December 2027.
- Achieve 98% order accuracy by December 2027.
- Reduce product returns caused by internal errors by 20% by December 2027.

BSC: Innovation & Learning Perspective

1

Develop Employee Capabilities

- Provide at least 20 hours of relevant training per employee annually.
- Ensure 90% of employees complete digital skills training by December 2027.
- Achieve 85% employee satisfaction with training programmes by December 2027.

2

Accelerate Digital Transformation

- Digitise 90% of procurement transactions by December 2027.
- Achieve 80% employee adoption of the new ERP system within six months of implementation.
- Reduce manual data-entry activities by 50% by December 2027.

3

Encourage Continuous Improvement

- Generate at least 100 employee improvement ideas during 2027.
- Implement at least 30 approved improvement initiatives by December 2027.
- Achieve 80% employee participation in continuous-improvement programmes by December 2027.

BSC: Environmental Perspective

1

Reduce Carbon Emissions

- Reduce Scope 1 and 2 emissions per unit of sales by 15% by December 2027.
- Reduce fuel consumption per delivery by 10% by December 2027.
- Obtain emissions data covering 90% of material suppliers by December 2027.

2

Reduce Waste & Packaging Impact

- Reduce packaging waste by 20% by December 2027.
- Recycle or responsibly dispose of 90% of operational waste by December 2027.
- Reduce single-use plastic packaging by 30% by December 2027.

3

Promote Sustainable Procurement

- Ensure 50% of key suppliers meet defined environmental criteria by December 2027.
- Source 30% of selected product categories from environmentally certified suppliers by December 2027.
- Conduct environmental assessments for 100% of strategic suppliers annually.



BSC: Social Perspective

1

Improve Employee Wellbeing & Safety

- Reduce workplace incidents by 25% by December 2027.
- Achieve 100% completion of mandatory health and safety training annually.
- Achieve an employee wellbeing score of 85% or higher by December 2027.

2

Promote Diversity, Inclusion & Development

- Ensure 100% of employees have equal access to training and development programmes by December 2027.
- Achieve 40% representation of women in management positions by December 2027.
- Achieve an employee inclusion score of 85% by December 2027.

3

Strengthen Responsible Supply Chains

- Ensure 100% of key suppliers sign the company's supplier code of conduct by December 2027.
- Conduct social/labour-practice assessments covering 90% of strategic suppliers annually.
- Ensure 100% of identified high-risk supplier issues have remediation plans within 60 days.

BSC: Governance Perspective

1

Strengthen Ethical Conduct & Compliance

- Ensure 100% of employees complete annual ethics and compliance training by December 2027.
- Investigate 100% of substantiated ethics complaints within 30 days.
- Achieve zero material regulatory compliance breaches during 2027.

2

Strengthen Risk Management & Internal Controls

- Complete risk assessments for 100% of critical business processes annually.
- Close 90% of high-risk internal audit findings within 90 days.
- Conduct quarterly reviews of 100% of critical operational and ESG risks.

3

Improve Transparency & Accountability

- Publish the annual financial and sustainability reports within four months of year-end.
- Ensure 100% of material ESG KPIs have documented data owners and evidence by December 2027.
- Achieve 100% completion of scheduled Board and committee meetings during 2027.

Key Takeaway: Performance Evaluation

Extended BSC

The seven-perspective extended Balanced Scorecard Customer, Financial, Internal Process, Innovation & Learning, Environmental, Social, Governance provides a comprehensive evaluation framework that goes beyond traditional financial reporting.

ESG Integration

Environmental, Social and Governance dimensions are no longer optional. Stakeholders increasingly demand performance evaluation that encompasses sustainability and responsible business conduct.

Set KPIs in Advance

KPIs should be established at the beginning of the financial period with clear perspectives, goals and SMART targets not retrospectively after results are known.

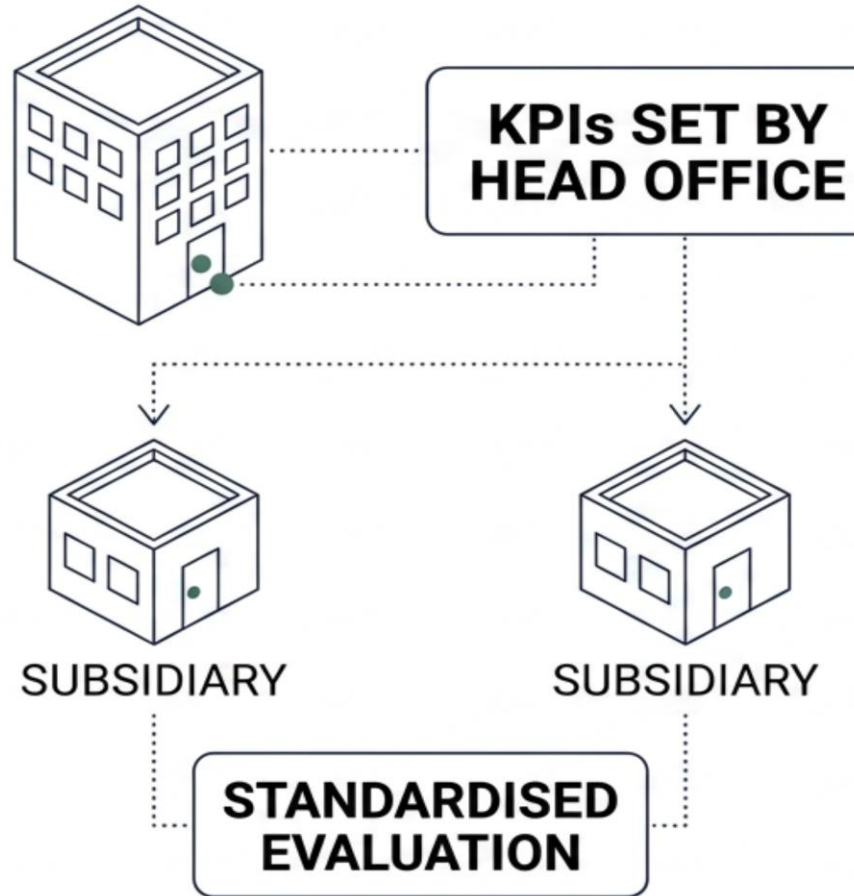
Other Issues in Performance Management

Managing Performance Across Multiple Business Entities

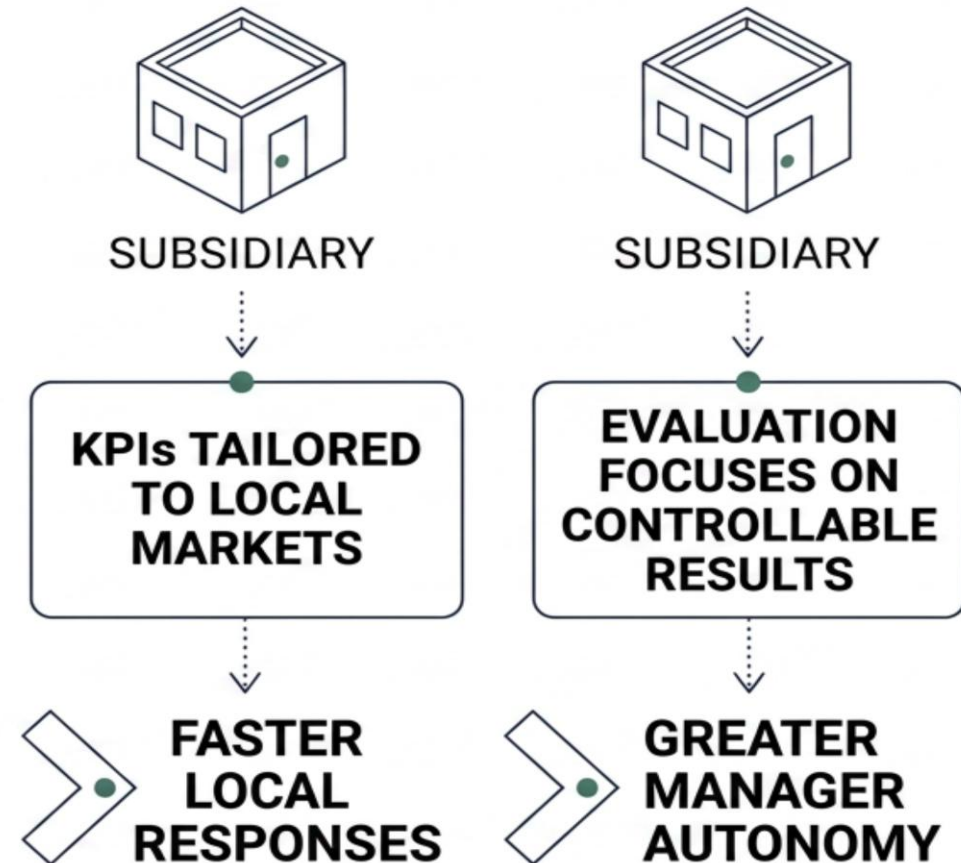
Performance **management** becomes significantly more complex when an organisation operates through a parent company and multiple subsidiaries. The key question is the **extent of decision-making authority** whether it is concentrated at the parent level (centralised) or delegated to subsidiary managers (decentralised). This choice fundamentally shapes how KPIs are set and how performance is evaluated across the group.

Centralisation vs. Decentralisation

CENTRALISATION



DECENTRALISATION



Centralisation: Benefits & Challenges

Benefits

- **Consistency:** Common policies, KPIs and targets facilitate group-wide performance monitoring and benchmarking.
- **Economies of scale:** Centralised purchasing, technology, finance and other functions can reduce costs across the group.
- **Strategic alignment:** Head office can ensure that subsidiary decisions support overall group strategy and objectives.

Challenges

- **Slow decision-making:** Decisions may require approval from head office, delaying responses to local opportunities or problems.
- **Reduced motivation:** Subsidiary managers may feel responsible for performance without having sufficient authority to influence it.
- **Poor local responsiveness:** Central managers may lack detailed knowledge of local markets and operating conditions.

Decentralisation: Benefits & Challenges

Benefits

- **Responsiveness:** Local managers can respond quickly to local customer needs, competition and market conditions.
- **Motivation and accountability:** Greater authority gives subsidiary managers ownership of decisions and responsibility for results.
- **Better local decisions:** Local managers often have better knowledge of local customers, suppliers, regulations and competitors.

Challenges

- **Inconsistency:** Subsidiaries may pursue different priorities, making group-wide coordination and comparison more difficult.
- **Goal conflict:** A decision that improves a subsidiary's performance may not maximise the performance of the group as a whole.
- **Duplication and higher costs:** Subsidiaries may duplicate functions, systems or purchasing activities, reducing economies of scale.

Principles for Setting KPIs in a Group with Subsidiaries

→ **Align KPIs with Group Strategy**

Ensure subsidiary performance measures directly support the parent company's overall strategic objectives and priorities.

→ **Balance Standardisation with Local Relevance**

Use common group-wide KPIs for comparability while allowing subsidiaries to include measures reflecting their local markets and circumstances.

→ **Focus on Controllability**

Evaluate subsidiary managers primarily on factors they can influence, while separately recognising significant uncontrollable external factors.

→ **Use a Balanced Mix of Measures**

Combine financial KPIs (profit, ROE, cash flow) with non-financial and ESG measures (customer satisfaction, employee engagement, environmental impact, governance).

→ **Set Clear Targets & Review Regularly**

Establish SMART targets with defined benchmarks, responsibilities and reporting periods, and periodically review them to reflect changes in strategy, risks and operating conditions.

Return on Investment (ROI)

Definition & Formula

ROI measures how effectively a subsidiary generates operating profit from the capital or investment committed to it.

$$\text{ROI} = \text{Operating Profit} \div \text{Capital Employed} \times 100$$

Operating profit is profit from core operations before interest and tax ensuring the return reflects operating performance independently of financing and taxation.

Capital employed = Total Assets – Current Liabilities
(or Equity + Non-current Liabilities).

Purpose

For subsidiary performance evaluation, ROI helps the parent company assess how efficiently each subsidiary uses the resources invested in it to generate returns. It enables comparison across subsidiaries of different sizes using a common percentage measure.

ROI: Worked Example

Assume a group has three subsidiaries with the following results.
The required minimum return is used for comparison purposes.

Particulars	Subsidiary A	Subsidiary B	Subsidiary C
Capital employed	\$1,000,000	\$2,000,000	\$500,000
Operating profit	\$150,000	\$240,000	\$75,000
ROI	15%	12%	15%
Ranking	1st (joint)	3rd	1st (joint)

Although Subsidiary B generates the highest absolute operating profit (\$240,000), it has the **lowest ROI** because it requires substantially more capital. Subsidiaries A and C generate \$15 of operating profit for every \$100 invested, compared with \$12 for Subsidiary B.

📌 Calculations: $A = \$150,000 \div \$1,000,000 \times 100 = 15\%$ | $B = \$240,000 \div \$2,000,000 \times 100 = 12\%$ | $C = \$75,000 \div \$500,000 \times 100 = 15\%$

ROI: Benefits & Limitations

Benefits of ROI

- **Easy comparison**
Allows comparison of subsidiaries of different sizes using a common percentage measure.
- **Measures capital efficiency**
Shows how effectively management uses invested capital to generate operating profit.
- **Supports investment decisions**
Helps management assess whether investments are generating an acceptable return.
- **Widely understood**
A familiar financial measure easily communicated to boards, investors and managers.

Limitations of ROI

- **Can discourage investment**
A manager may reject a project with a positive return if its ROI is below the subsidiary's existing ROI, even though it could increase overall group profit.
- **Short-term focus**
Managers may focus on current profit or reducing investment rather than long-term value creation.
- **Accounting measurement issues**
Different depreciation methods and asset valuations can affect comparability.
- **Ignores absolute profit**
A high ROI subsidiary may generate relatively little total profit; a large subsidiary may generate substantial profit with a lower ROI.

❏ **Key Point:** ROI is useful for comparing capital efficiency, but maximising a subsidiary's ROI can sometimes lead managers to reject investments that would increase overall group profitability.

Residual Income (RI)

Definition & Formula

Residual Income (RI) measures the **absolute operating profit remaining after deducting a notional capital charge** for the capital employed by a subsidiary, showing whether the subsidiary generates profit above the minimum return expected on the capital invested.

$$\text{RI} = \text{Operating Profit} - (\text{Capital Employed} \times \text{Required Rate of Return})$$

The required rate of return is sometimes called the *cost of equity capital* or *imputed interest charge*.

Key Advantage Over ROI

Unlike ROI, which can discourage managers from accepting profitable investments that would reduce the subsidiary's ROI percentage, **RI encourages managers to accept any investment that earns more than the required rate of return**, even if that investment reduces the subsidiary's overall ROI. This promotes better goal congruence between subsidiary managers and the group.

RI: Worked Example

Assume the group requires all subsidiaries to earn a minimum return of **10%** on capital employed.

Particulars	Subsidiary A	Subsidiary B	Subsidiary C
Capital employed	\$1,000,000	\$2,000,000	\$500,000
Operating profit	\$150,000	\$240,000	\$75,000
Capital charge (10%)	\$100,000	\$200,000	\$50,000
Residual Income	\$50,000	\$40,000	\$25,000
RI Ranking	1st	2nd	3rd

All three subsidiaries generate a positive RI, meaning each earns more than the group's required 10% return. **Subsidiary A has the highest RI (\$50,000)**, even though Subsidiary B generates the highest operating profit of \$240,000. Calculations: A = \$150,000 – \$100,000 = \$50,000 | B = \$240,000 – \$200,000 = \$40,000 | C = \$75,000 – \$50,000 = \$25,000.

RI: Benefits & Limitations

Benefits

- **Encourages value-creating investments:** Managers accept investments generating returns above the required rate, even where those investments might reduce the subsidiary's existing ROI.
- **Measures absolute value creation:** Shows the dollar amount of profit generated above the required return on capital.
- **Considers the cost of capital:** Recognises that invested capital has an economic cost, providing a more meaningful measure of value creation.
- **Supports goal congruence:** Better aligns subsidiary managers' decisions with the objective of increasing the overall group's economic value.

Limitations

- **Difficult to compare subsidiaries of different sizes:** Larger subsidiaries will generally generate larger absolute RI, even when a smaller subsidiary is more efficient in percentage terms.
- **Depends on the required rate of return:** The RI calculation is sensitive to the selected cost of capital; an inappropriate rate can distort performance evaluation.
- **Accounting measurement issues:** Operating profit and capital employed may be affected by accounting policies such as depreciation and asset valuation.
- **Less intuitive than ROI:** A dollar amount of RI may be less readily understood or compared than a percentage return such as ROI.

Economic Value Added (EVA)

Definition & Formula

EVA measures the economic profit created by a subsidiary after deducting the cost of all capital employed, including both the explicit and opportunity cost of capital, indicating whether the subsidiary is creating or destroying shareholder value.

$$\text{EVA} = \text{NOPAT} - (\text{Capital Employed} \times \text{WACC})$$

- **NOPAT** = Net Operating Profit After Tax
- **Capital Employed** = Capital invested in the subsidiary
- **WACC** = Weighted Average Cost of Capital

Interpretation

A **positive EVA** means the subsidiary has created value because its operating returns exceed the cost of capital. A **negative EVA** means it has destroyed value.

EVA is a sophisticated value-based performance measure that goes beyond accounting profit by charging the subsidiary for the capital it uses, thereby identifying whether it is genuinely creating economic value rather than merely reporting an accounting profit.

EVA: Worked Example

Assume the group's WACC is **10%** for all three subsidiaries.

Particulars	Subsidiary A	Subsidiary B	Subsidiary C
Capital employed	\$1,000,000	\$2,000,000	\$500,000
NOPAT	\$140,000	\$250,000	\$65,000
Capital charge (10%)	\$100,000	\$200,000	\$50,000
EVA	\$40,000	\$50,000	\$15,000
EVA Ranking	2nd	1st	3rd

All three subsidiaries have positive EVA, meaning each generates returns above the group's 10% cost of capital. **Subsidiary B creates the greatest economic value at \$50,000**, even though its capital requirement is the highest. Calculations: A = \$140,000 – \$100,000 = \$40,000 | B = \$250,000 – \$200,000 = \$50,000 | C = \$65,000 – \$50,000 = \$15,000.

EVA: Benefits & Limitations

Benefits

- **Focuses on value creation:** Measures whether the subsidiary generates returns that exceed the full economic cost of the capital invested.
- **Supports shareholder value:** Links subsidiary performance more directly to the creation of economic value for shareholders.
- **Encourages appropriate investment decisions:** Managers are encouraged to undertake investments where the expected return exceeds the cost of capital.
- **Aligns subsidiary and group objectives:** Encourages subsidiary managers to make decisions that increase economic value rather than simply improving accounting ratios.

Limitations

- **Complex calculation:** EVA may require adjustments to accounting profit and capital employed to obtain a more economically meaningful measure.
- **Depends on WACC:** The calculated EVA is sensitive to the estimated cost of capital; an inappropriate WACC can produce misleading results.
- **Accounting measurement problems:** Depreciation, asset valuation and provisions can affect NOPAT and invested capital.
- **Difficult comparisons between subsidiaries:** Differences in business risk, country risk and capital structures may require different costs of capital.
- **Potential short-term focus:** Managers may concentrate on increasing current EVA and underinvest in projects whose economic benefits arise only in the longer term.

Comparing ROI, RI and EVA

ROI

What it measures: Percentage return generated on capital employed.

Key question: "What percentage return are we earning?"

Useful for comparing capital efficiency across subsidiaries of different sizes using a common percentage measure.

RI

What it measures: Operating profit remaining after a capital charge based on a required return.

Key question: "How many dollars are we earning above the required return?"

Encourages managers to accept all investments earning above the required rate, improving goal congruence.

EVA

What it measures: Economic profit remaining after charging the business for the full cost of capital (WACC).

Key question: "How much economic value have we actually created after paying for all capital?"

The most sophisticated measure goes beyond accounting profit to identify genuine value creation.

A large container ship is docked at a port. In the foreground, there are several stacks of colorful shipping containers (orange, blue, green, and red). A yellow forklift is moving a container, and a white truck is parked nearby. A worker in an orange vest is visible on the ground. The background shows more cranes and the ship's hull.

SECTION 10.4.2

Transfer Pricing & Performance Management

Performance management is affected by inter-subsidary transfers of goods and services because the **transfer price determines the revenue of the supplying subsidiary and the cost of the receiving subsidiary**, thereby influencing their reported profits, KPIs, ROI, RI/EVA and managerial performance evaluations.

How Transfer Prices Affect Performance Management

Performance Management Issue	Effect
Profit measurement	A higher transfer price increases the supplying subsidiary's profit but reduces the receiving subsidiary's profit, and vice versa.
KPI evaluation	Measures such as profit margin, ROI and RI can be distorted by transfer prices rather than reflecting the true operational performance of the subsidiary.
Managerial motivation	Managers may make decisions that improve their own subsidiary's reported performance but reduce the performance of the group as a whole.
Goal congruence	An appropriate transfer-pricing policy should encourage subsidiaries to make decisions that maximise overall group performance, not just individual subsidiary results.
Performance comparison	Different transfer prices can make comparisons between subsidiaries difficult, particularly where subsidiaries depend heavily on internal transactions.

- ❏ Setting the appropriate transfer price is therefore essential for fair and meaningful performance management across the group.

Transfer Pricing Approaches

Approach	Meaning	Benefit	Limitation
External Selling Price	Transfer price based on the price the supplying subsidiary charges external customers.	Objective and market-based; motivates the supplying subsidiary to maintain external-market competitiveness.	May not reflect internal transaction differences, internal transfers may have lower selling or distribution costs than external sales.
Market-Based Purchase Price	Receiving subsidiary is charged the price it would pay an independent external supplier.	Promotes goal congruence: the receiving subsidiary can compare the internal price directly with its external purchasing alternative.	Comparable market prices may not exist, particularly where goods/services are unique or specialised.
Variable Cost	Transfer price based only on the variable cost incurred by the supplying subsidiary.	Useful when the supplier has spare capacity; the receiving subsidiary obtains goods at a low price.	Can demotivate the supplying subsidiary: it may earn little or no contribution toward its fixed costs.
Full Cost (Variable + Fixed)	Transfer price includes variable cost plus an allocation of fixed production costs.	Allows recovery of both variable and allocated fixed production costs by the supplying subsidiary.	Can encourage inefficiency: the receiving subsidiary may be charged for the supplier's inefficient or excessive costs.
Negotiated Price	Supplying and receiving subsidiaries negotiate and agree on a transfer price within group policy or market conditions.	Provides flexibility: allows managers to consider capacity, market conditions, opportunity costs and circumstances of both subsidiaries.	May create conflict: stronger negotiating managers may obtain an advantageous price at the expense of the other subsidiary.

International Transfer Pricing: Key Factors (Part 1)

Corporate Tax Rates

Groups may face pressure to set transfer prices in ways that allocate profits appropriately among countries with different tax rates, subject to applicable tax laws and the arm's-length principle.

Tax Regulations

Different countries' transfer-pricing rules determine how transactions should be priced, documented and reported and may restrict prices that do not reflect arm's-length conditions.

Customs Duties & Import Tariffs

Higher import duties can make a higher transfer price more costly to the importing subsidiary, influencing the economically appropriate transfer price subject to customs and tax requirements.

Foreign-Exchange Rates & Currency Risk

Exchange-rate fluctuations affect the value and profitability of cross-border transactions and may require transfer-pricing arrangements that appropriately manage currency risk.

Local Market Prices & Competition

Prices charged by independent suppliers or competitors provide an external benchmark for determining whether an intercompany transfer price is commercially reasonable.

International Transfer Pricing: Key Factors (Part 2)

Availability & Capacity of Subsidiaries

A subsidiary with spare capacity may accept a lower transfer price, while a subsidiary operating at full capacity may require a higher price to compensate for the contribution sacrificed from external sales.

Nature & Value of Goods/Services Transferred

The complexity, uniqueness, quality and economic value of the goods or services influence the appropriate transfer price and the availability of comparable market prices.

Differences in Operating Costs

Differences in labour, materials, energy, logistics and other costs between countries affect the cost base and profitability of each subsidiary and therefore influence transfer-pricing analysis.

Group Strategic Objectives

Transfer prices may be designed to support wider group objectives such as market expansion, supply-chain efficiency, investment or coordinated subsidiary performance, while remaining compliant with tax rules.

OECD Transfer-Pricing Principles

OECD principles, particularly the arm's-length principle, provide an internationally recognised framework for determining prices as if the subsidiaries were independent parties.

International Transfer Pricing: Additional Factors

Local Arm's-Length Requirements

Each country's tax authority may require related-party transactions to be priced on arm's-length terms and may adjust prices that do not meet local requirements.

Tax Audits & Penalties

The risk of tax authority scrutiny, transfer-pricing adjustments, interest and penalties encourages multinational groups to use defensible prices supported by appropriate documentation.

Withholding Taxes

Withholding taxes on cross-border payments such as royalties, interest and service fees can affect the overall cost and structure of intercompany transactions.

Double-Taxation Risk

Differences between countries' tax authorities' treatment of transfer prices can result in the same income being taxed twice, making appropriate pricing and international tax coordination important.

Foreign Currency Transaction Restrictions

Where a government restricts a subsidiary's ability to remit foreign currency to its parent, the group may set transfer prices to retain appropriate funds within the subsidiary while facilitating the legitimate transfer of value to the parent through permitted channels, subject to local tax and transfer-pricing regulations.

Transfer Pricing: Comprehensive Worked Example

ABC Group consists of a local parent company and a foreign subsidiary. The parent manufactures and sells goods to both local customers and the foreign subsidiary. The foreign subsidiary resells the goods to customers in its country. The parent is subject to a **30% corporate tax rate**; the foreign subsidiary is subject to a **25% corporate tax rate**.

Parent Company Data

- Sales to local customers: \$600,000
- Cost of goods sold (local sales): \$300,000
- Cost of manufacturing goods transferred to subsidiary: \$400,000
- Operating expenses: \$100,000

Foreign Subsidiary Data

- Sales to foreign customers: \$1,000,000
- 50% of subsidiary's sales relate to goods purchased from the parent
- Other costs of sales (excluding transfer price): \$200,000
- Operating expenses: \$100,000

Transfer Prices Under Consideration

- Full cost: \$500,000
- Negotiated price: \$550,000
- Market price: \$600,000

Transfer Pricing Example: Parent Company Results

Parent — Particulars	Full Cost \$500K	Negotiated \$550K	Market \$600K
Local customer revenue	600,000	600,000	600,000
Intercompany revenue	500,000	550,000	600,000
Total revenue	1,100,000	1,150,000	1,200,000
Local customer cost of sales	(300,000)	(300,000)	(300,000)
Cost of goods transferred	(400,000)	(400,000)	(400,000)
Gross profit	400,000	450,000	500,000
Operating expenses	(100,000)	(100,000)	(100,000)
Profit before tax	300,000	350,000	400,000
Tax @ 30%	(90,000)	(105,000)	(120,000)
Parent profit after tax	210,000	245,000	280,000

Transfer Pricing Example: Subsidiary & Combined Group Results

Subsidiary – Particulars	Full Cost \$500K	Negotiated \$550K	Market \$600K
Foreign customer revenue	1,000,000	1,000,000	1,000,000
Intercompany cost of sales	(500,000)	(550,000)	(600,000)
Other cost of sales	(200,000)	(200,000)	(200,000)
Operating expenses	(100,000)	(100,000)	(100,000)
Profit before tax	200,000	150,000	100,000
Tax @ 25%	(50,000)	(37,500)	(25,000)
Subsidiary profit after tax	150,000	112,500	75,000

Combined Group	Full Cost	Negotiated	Market
Combined external revenue	1,600,000	1,600,000	1,600,000
Combined profit before tax	500,000	500,000	500,000
Total tax	(140,000)	(142,500)	(145,000)
Combined profit after tax	\$360,000	\$357,500	\$355,000
Ranking	1st	2nd	3rd

- ❑ The Full Cost transfer price (\$500,000) maximises combined group profit after tax at \$360,000, because it allocates more profit to the subsidiary, which faces a lower tax rate (25% vs 30%).

Key Takeaway: Subsidiary Performance Measures

1

ROI

Percentage return on capital employed. Useful for comparison but can discourage value-creating investments that reduce the subsidiary's existing ROI.

2

RI

Absolute profit above the required return. Encourages managers to accept all investments earning above the required rate better goal congruence than ROI.

3

EVA

Economic profit after charging the full cost of capital (WACC). The most sophisticated measure identifies genuine value creation vs. mere accounting profit.

No single measure is perfect. Use ROI, RI and EVA together for a balanced view of subsidiary performance, and always consider the controllability of the factors being measured.

Transfer Pricing: Management Accounting vs. Tax Compliance

Management Accounting Perspective

For management accounting purposes, a group may calculate an economically optimal transfer price, for example, using market price, variable cost, full cost or negotiation to evaluate subsidiary performance and encourage goal congruence.

Tax Compliance Perspective

For tax purposes, the price must also satisfy the applicable Kenyan transfer-pricing requirements and the **arm's-length principle**. Thus, the management accounting optimum and the tax-compliant transfer price are not necessarily the same.



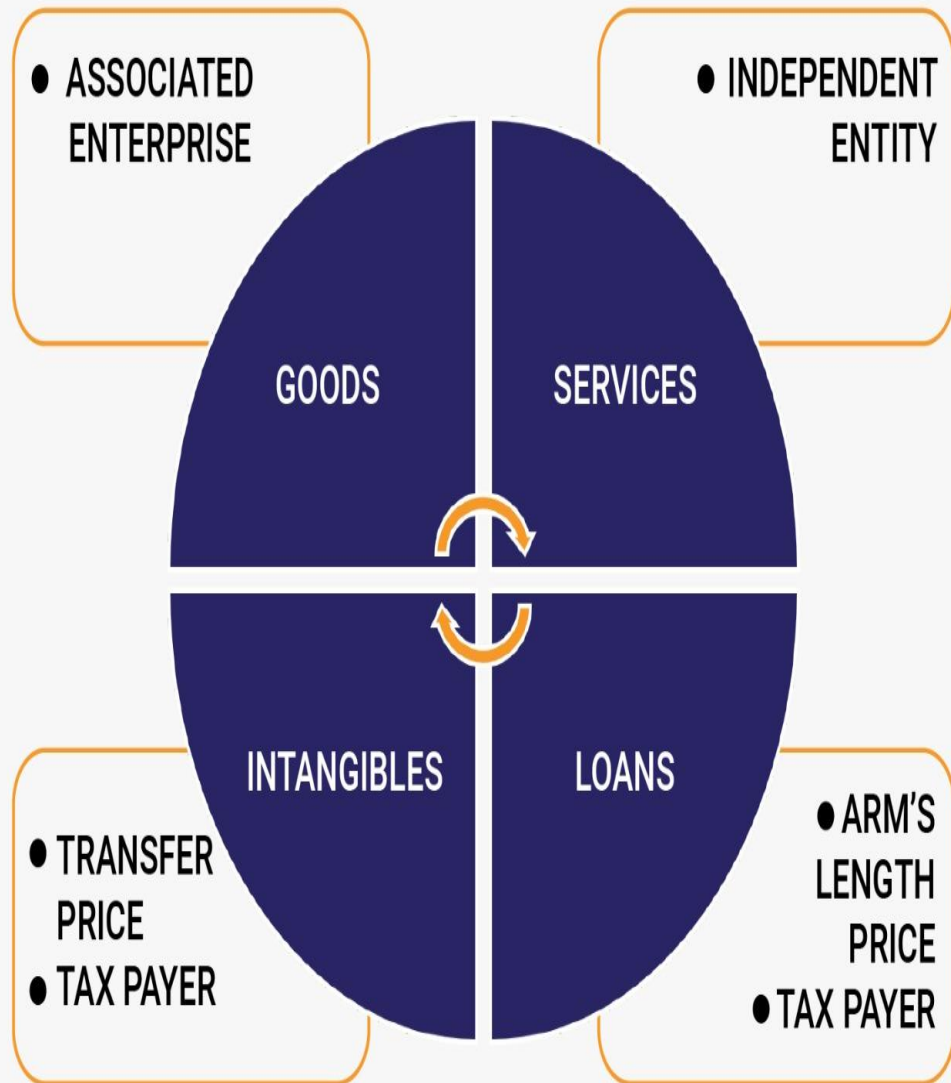
Kenya's transfer-pricing legislation has evolved through amendments and new regulations. For an actual transaction, the current Income Tax Act, Cap. 470 (Revised Edition, May 2024), subsidiary legislation and KRA guidance should be checked rather than relying solely on the 2006 Rules.

Kenya Transfer Pricing Regulations: Key Requirements (Part 1)

Area	Key Requirement / Principle	Practical Implication
Arm's-length principle	Transactions between related enterprises must generally be priced as if they were between independent parties.	A Kenyan company cannot simply choose a transfer price that shifts profits to a related entity; the price must be supportable as arm's length.
Related-party transactions	Transfer-pricing rules apply to transactions between related enterprises, including entities connected through management, control or capital.	Sales, purchases, services, financing, royalties and other controlled transactions may require transfer-pricing analysis.
Covered transactions	The framework applies to transactions involving goods and services and other controlled dealings between related parties.	Both domestic and cross-border related-party transactions may need to be considered under the Kenyan rules.
Transfer-pricing methods	Kenyan rules provide methods including CUP, Resale Price, Cost Plus, Profit Split and TNMM.	The taxpayer should select the method most appropriate to the facts and circumstances of the transaction.
Documentation	Taxpayers engaging in transfer-pricing arrangements are required to maintain appropriate records and documentation supporting the determination of the transfer price.	The taxpayer should be able to demonstrate to KRA how the price was determined and why the selected method is appropriate.

Kenya Transfer Pricing Regulations: Key Requirements (Part 2)

Area	Key Requirement / Principle	Practical Implication
Country-by-Country (CbC) Reporting	Kenya has incorporated CbC reporting requirements for qualifying multinational enterprise groups.	Large MNE groups may have to provide information on revenue, profit, taxes and economic activity by jurisdiction.
Master File & Local File	Kenya's framework incorporates OECD-style documentation concepts for qualifying multinational groups.	A multinational may need to maintain group-level information in a Master File and Kenya-specific information in a Local File.
Advance Pricing Agreements (APAs)	Kenya has introduced a framework for APAs, under which the taxpayer and KRA can agree in advance on the methodology for determining transfer prices.	APAs can provide greater certainty where transactions are significant, complex or recurring.
International transactions & tax treaties	Cross-border related-party transactions must be considered alongside Kenya's Double Tax Agreements (DTAs) and international tax rules.	DTAs can affect the allocation of taxing rights and mechanisms for relieving double taxation.
KRA audit & adjustment powers	KRA can examine related-party transactions and make appropriate tax adjustments where taxable profits have not been determined consistently with Kenyan tax requirements.	Inadequately supported transfer prices can result in additional tax assessments, interest and potentially penalties.
Customs considerations	For imported goods, transfer pricing may interact with customs valuation and import-duty requirements.	A price acceptable for income-tax purposes does not automatically resolve customs valuation issues.
Tax avoidance/profit shifting	The rules are intended partly to prevent inappropriate allocation of profits between related entities and jurisdictions.	Multinational groups should not structure transfer prices primarily to move taxable profits to lower-tax jurisdictions without commercial and arm's-length support.



Key Takeaway: Transfer Pricing

Performance Impact

Transfer prices directly affect subsidiary profits, KPIs, ROI, RI and EVA. An inappropriate transfer price distorts performance evaluation and can undermine goal congruence.

Pricing Methods

Market price, full cost, variable cost and negotiated price each have distinct benefits and limitations. The choice must balance performance management objectives with tax compliance requirements.

Tax Compliance

In Kenya, transfer prices must satisfy the arm's-length principle under the Income Tax Act, Cap. 470. The management accounting optimum and the tax-compliant price are not necessarily the same.

Quick Reference: Key Formulas

Financial KPIs

- **Revenue Growth:** $(\text{Current} - \text{Previous}) \div \text{Previous} \times 100$
- **Gross Profit Margin:** $\text{GP} \div \text{Revenue} \times 100$
- **Operating Profit Margin:** $\text{OP} \div \text{Revenue} \times 100$
- **Net Profit Margin:** $\text{PAT} \div \text{Revenue} \times 100$
- **Current Ratio:** $\text{Current Assets} \div \text{Current Liabilities}$
- **Debt-to-Equity:** $\text{Total Liabilities} \div \text{Equity}$
- **Inventory Turnover:** $\text{Cost of Sales} \div \text{Avg Inventory}$
- **Receivables Days:** $\text{Avg Receivables} \div \text{Credit Sales} \times 365$

Subsidiary Performance Measures

- **ROI:** $\text{Operating Profit} \div \text{Capital Employed} \times 100$
- **Capital Employed:** $\text{Total Assets} - \text{Current Liabilities}$
- **RI:** $\text{Operating Profit} - (\text{Capital Employed} \times \text{Required Rate of Return})$
- **EVA:** $\text{NOPAT} - (\text{Capital Employed} \times \text{WACC})$

Variance Analysis

- **Revenue Variance:** $\text{Actual} - \text{Budgeted Revenue}$
- **Material Cost Variance:** $\text{Actual} - \text{Budgeted Material Cost}$
- **Operating Expense Variance:** $\text{Actual} - \text{Budgeted Expenses}$



Topic 10 Complete

MBA Financial Management Accounting Performance Management

KPI Design

SMART financial and non-financial measures across all organisational functions.

Performance Evaluation

Extended Balanced Scorecard with seven perspectives including ESG dimensions.

Subsidiary Measures

ROI, Residual Income and EVA each with distinct benefits, limitations and behavioural implications.

Transfer Pricing

Pricing approaches, international factors and Kenya's arm's-length regulatory framework.